

Recruitment [Unit #6]

What is the recruitment? List the steps in recruitment process?

Recruiting:-

⇒ Recruiting is the process of generating a pool of qualified applicants for organizational jobs.

⇒ if the number of available candidates equals the number of people to be hired, no real selection is required.

According to Edwin B. Flippo:-

“Recruitment is the process of searching for prospective employees stimulating them to apply for jobs in the organization.”

According to Mowday and Davis:-

“Recruitment is the process of finding and attracting capable applicants for employment. The process begins when new recruits are sought and ends when their applications are submitted. The result is a pool of applicants from which new employees are selected.”

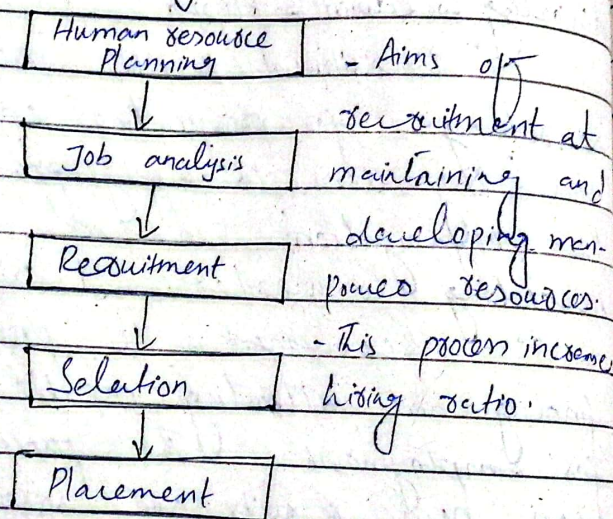
- Note: This process begins with manpower planning and end with placement and induction.

According to Scott, clothes and Spiegel the need for recruitment arises out of the following situations.

- ⇒ Vacancies created due to expansion, diversification and growth of business.

- ⇒ An increase in the competitive advantage of certain concerns.

- ⇒ Vacancies created due to transfer, promotion, retirement, termination, permanent, disability or death.



⇒ Recruitment is a process of identifying, screening, shortlisting and hiring potential resource for filling up the vacant positions in an organization.

⇒ it is a core function of HRM.

Purpose and importance of recruitment:

- o Attract and encourage candidate to apply for the post in the organization.
- o Determine present and future requirements of the organization.
- o Create a pool of candidate at the low cost.
- o Begin identifying and preparing potential applicants who will be appropriate candidates.

Features of recruitment:

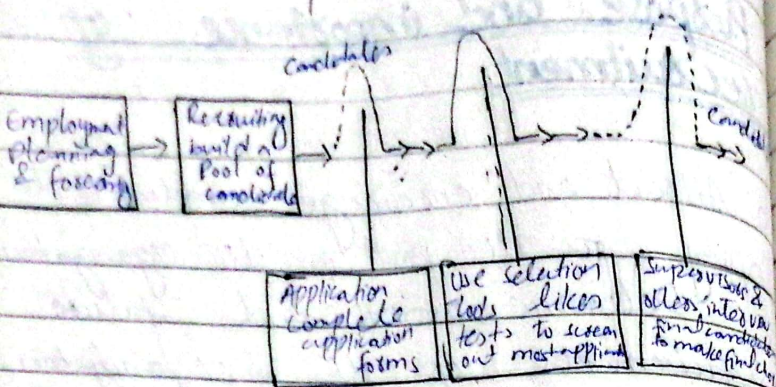
- o Positive function
- o Continuous function
- o Linking Activity
- o Persuasive function
- o Two-way process.

Recruitment process: refers to those steps which are undertaken for recruitment.

- o Recruitment planning
- o Sources of Recruitment
- o Contingency sources

1. Recruitment policy
2. Sources of recruitment
3. Review of recruitment
4. Forecast manpower requirements
5. Recruitment methods & techniques

- o Application pool
- o Selection process



Employment planning:

- => Recruitment and selection ideally starts with workforce planning.
- => Workforce planning is the process of deciding what positions the firm will have to fill, and how to fill them.
- => However, most firms call the process of deciding how to fill existing jobs succession planning.

- 1) Strategy and workforce planning:-
 - => Employment planning should reflect the firm's strategic plans.
 - => Strategic issues are always coming. Managers should control their strategy.

=> Personnel plans. Devise some forecasts or estimates, in this case, of three things:

- o Personnel plans
- o The supply of inside candidates
- o The supply of outside candidates
- o Improving productivity through HRM

2) Forecasting personnel needs. (Labor demand)

=> On the basis of manpower planning, company makes estimate of right kind and right quantity of manpower.

=> To determine "How many people will we need?" managers consider several factors.

=> The basic process of forecasting personnel needs is to forecast revenues first.

=> Then estimate the size of staff required. Managers can also consider other strategic factors such as:

- o Projected turnover
- o Decisions to upgrade products or services
- o Productivity changes
- o Financial resources

=> There are several simple tools for projecting personnel needs, as follows:

Trend analysis:

=> Study of a firm's past employment needs over a period of years to predict future needs.
=> it can provide an initial estimate of future staffing needs.

Ratio analysis:

=> A forecasting technique for determining future staff needs by using ratios between, for example:

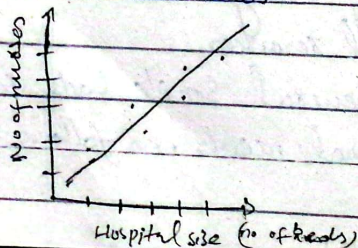
- o Sales volume
- o Number of employees needed.

Scatter plot:

=> A graphical method used to help identify the relationship between two variables. HR planners can use scatter plots to determine whether two factors -

Maslow analysis: 1) measure of business

=> Mathematical process known as transition analysis to forecast availability of internal job candidates.



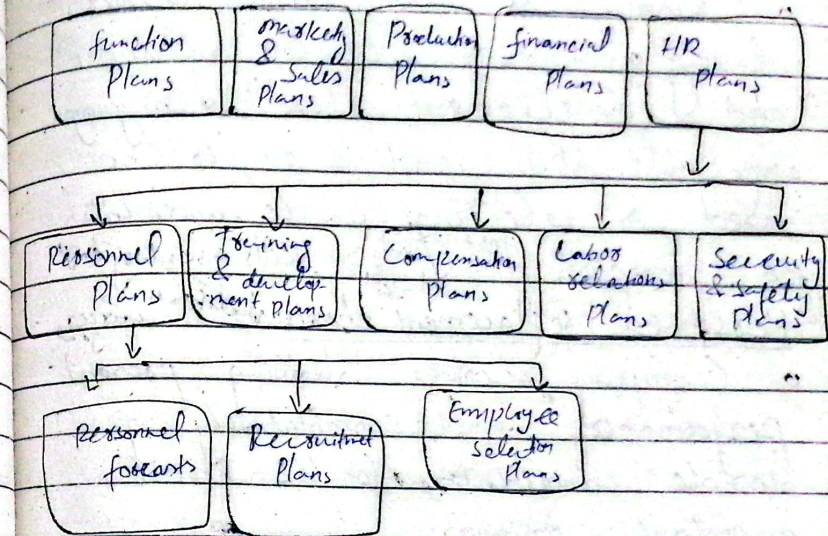
Linking employees' strategy to plan:-

Diversify?

Integrate vertically?

Expand geographically?

on what basis should we compute?



Forecasting the supply of inside candidates:

- o Many firms start with the inside candidates the supply
- o we can estimate the likely supply of both inside and outside candidates

→ The main task here is determining what current employees might be qualified for the projected opening.

Qualifications (or Skills) inventories:

- Manual or Computerized Records listing employees' education, careers and development interest, languages, special skills, and so on, to be used in selecting inside candidates for promotion.

Personnel replacement charts: ^{Technical Skills} Skills inventory ^{Soft Skills} ^{Qualifications} ^{Careers}

- Company records showing performance and promotability of inside candidates for the most important positions.

Position replacement cards:

- A card prepared for each position in a company to show possible replacement candidates and their qualifications.

2) Building a pool of candidates:

- Two sources are used for building a pool of candidates:
 - internal sources
 - External sources.

3) Developing and using application forms:

⇒ with a pool of candidates, the prescreening process can begin.

⇒ The application form is usually the first step in this process.

⇒ A filled-in application provides four types of information:

1) you can make judgment on substantive matters, such as whether the applicant has the education and experience to do this job.

2) you can draw conclusions about the applicants' previous progress and growth.

3) Tentative conclusions can be drawn about the applicants' stability based on previous work record.

4) The data in the application can be used to predict which candidates will

Success on the job and which will not.

Definition: Application form
⇒ The form that provides information on education, previous work record & skills.

4) Use Selection tools like tests to screen out most applicants:

⇒ Integral part of recruitment.
⇒ Selection process starts only after the application have been screened & short listed.

⇒ HR Selection is the process of preferring qualified individuals who are available to fill positions in an organization.

⇒ Selection involves both picks up the fits and rejects unfit.

⇒ Therefore, it is called a negative process.

⇒ Selection procedure:

- 1) Application pool
- 2) Preliminary screening
- 3) Application blank ^{form} & interview

5) Final Selection:

⇒ For the final selection, different selection tests are conducted.

- Aptitude tests
- Personality tests
- Interest tests
- Achievement tests
- Performance tests
- Intelligence tests
- Knowledge tests
- Projective tests

⇒ Other tools are used for final selection are as follows:

- Interviews
- Background investigation
- Physical examination

Forecasting The supply of Outside candidates:

○ forecasting labor supply depend first on the manager's own sense of what is happening in his/her industry.

○ for example, unemployment rate above 7% signaled to HR managers that finding good candidates would be easier.

○ factors affecting the supply of outside candidates

- General economic condition
- Expected unemployment rate

Q # What are internal & external sources of recruitment?

=> There are various sources of recruitment are generally classified as:

- o internal sources
- o External sources

=> Sources are the locations where prospective employees are available.

External Sources:

=> Refers to the practice of getting suitable persons from outside.

=> Internal sources are limited. All organizations cannot meet the man-power needs from this source.

=> Since external sources are larger than internal sources.

(I) Educational Institutions:

=> Works are becoming increasingly complex in industry and trade.

=> To perform these functions, managerial and technical education is a must.

=> Hence, higher level vacant posts can also be filled by establishing contact

with management colleges, universities, technical institutions.

- => internships
- => The on-site visit
- => on-campus recruiting push

Advertisement:

=> Advertisement is an important means for recruitment of employees.

=> Vacant jobs are announced through different print and electronic media like newspapers, magazines, journals, television, radio etc.

Pros:

- o Large number of prospective employees can be attracted.

Cons:

- o Spate of applications and most of the applicants do not fulfil the requisite qualifications.

III Employment exchange:

=> Employment exchange run by the government are also important sources of recruitment of employees.

=> Unemployed persons get their names registered in employment exchanges.

=> Thus, these exchanges serve as a link between those who offer jobs and

⇒ Good source for recruitment of unskilled, semi-skilled and skilled operative jobs.

⇒ those who seek jobs.

⇒ A company can establish contact with these exchanges to fill vacancies.

iv) Professional associations:

⇒ Professional association also serve as a mean for recruitment of employees.

⇒ it is an appropriate source of the supply of managerial, supervisory and technical employees.

⇒ professional associations always keep a list of professional candidates.

⇒ By contacting them, vacancies can be filled.

v) Casual or unsolicited applicants:

⇒ Renowned institutes continue to receive casual applications from the candidates.

⇒ Suitable employees can be selected from among these candidates as and when any vacancy occurs in the organization.

⇒ This serve as a valuable source of manpower.

vi) Trade union:

⇒ Trade union can also recruit employees or labourers.

⇒ Unions keep record of unemployed persons.

⇒ Organizations can contact them to fill the vacancies.

vii) Labour contractors:

⇒ They are an important source of (information) recruitment in many industries.

⇒ workers are recruited through labour contractors who use themselves employees of the organization.

⇒ These contractors get work for the labourers.

⇒ Organizations can establish contact with them, when needed.

⇒ Recruitment through labour contractors has been banned for the public sector units.

viii) Recruitment at factory gate:

⇒ Also known as direct method.

⇒ it is an important source of recruitment labourers.

- ⇒ By placing a notice on the notice board of the enterprise specifying the details of the jobs available.
- ⇒ If regular labour is absent from work one day, then selection can be made of suitable labourers as per requirement.
- ⇒ Such an appointment is on daily bases.

ix) Recommendation:

- ⇒ Also an important source for providing employment.
- ⇒ Many companies give preference to this source because existing employees can furnish enough information about the candidate.
- ⇒ Applicants introduced by friends and relatives may prove to be a good source of recruitment.

x) Raiding:

- ⇒ Raiding is a technical term when employees working elsewhere are attracted to join organisations.
- ⇒ Other competing organisations also serve as source.

- ⇒ Company can get capable and experienced employees from other organizations.
- ⇒ Companies can attract experienced employees of the rival concerns giving them promotions.

xii) Recruitment via the internet:

- ⇒ Testing
- ⇒ Dot-jobs domain
- ⇒ Virtual job fairs.
- ⇒ Using applicant attracting system

Pros: 1) Give quicker response for longer time at less cost.

Cons:

- 1) Internet overload.
- 2) Online application gathering may inadvertently include disproportionate number of older applicants.

xii) Referrals and walk-ins.

- Friends and relatives

Pros: Provide correct information.

xiii) Employment agencies:

Advantages of Es:

- 1) Qualified personnel
- 2) Wider choice
- 3) Fresh talent

4) Competitive spirit

Demerits of ES:

- 1) Dissatisfaction among existing employees
- 2) Lengthy process
- 3) Costly process
- 4) Uncertain response

Internal sources:

- ⇒ This refers to the recruitment from within the company.
- ⇒ Present working force in the organization is called internal source.
- ⇒ External sources are tapped only when internal sources are not available.
- ⇒ Promotion, transfers and demotion of the existing employees in the organization constitute main internal sources of recruitment.
- ⇒ The internal sources are divided into the following parts:
 - o Permanent working employees
 - o Temporary working employees
 - o Retired employees.

o Dependents of deceased employees

i) Job positioning:

- ⇒ important and valuable source of finding internal candidates.
- ⇒ publicizing an open job to employees and list its attributes like qualifications, supervisors, working schedule, and pay rate is called job positioning.

ii) Promotions:

- ⇒ Promotion refers to upgrading the cadre of the employees by evaluating their performance in the organization.
- ⇒ It is the process of shifting an employee from a lower position to a higher position with more responsibilities, remuneration, facilities and status.
- ⇒ Many organizations fill the higher vacant positions with the process of promotions, internally.

iii) Transfers:

- ⇒ Refers to the process of interchanging from one job to another without

4 any change in the rank and responsibilities.
 ⇒ it can also be shifting of employees from one department to another, depending on one location to another, depending upon the requirement of the position.
 e.g.

A finance company called ABC Ltd. Having two branches, Branch-A and Branch-B and an employee from Branch-A resigned from his job responsibilities. Hence, this position has to be filled for the continuation of the project in Branch-A.

iv) Recruiting former employees

⇒ is a process of internal sources of recruitment, wherein the employees are called back depending upon the requirement of the position.

Pos:

- Cost effectiveness
- Saves time
- Well versed with the roles and responsibilities of the job and an organization needs to spend less on their training & development

Internal advertisement - (Job posting)

⇒ process of advertising/posting jobs within the organization.
 ⇒ job posting is an open invitation to all the employees inside the organization, where they can apply for the vacant position.

Employee referrals: (PP-2021)

⇒ An effective way of sourcing the right candidates at a low cost.
 ⇒ It is the process of hiring new resources through the references of the employees, who are currently working with the organization.
 ⇒ Present employees can refer to friends and relatives for filling up the vacant positions.

- Pos:
- Cost effective
 - Saves time

Merits of IS:

- ⇒ Used to motivate the employees.
- ⇒ Low cost of selection
- ⇒ Reduction in labour turnover rate.
- ⇒ Trade Unions remain satisfied
- ⇒ Employees get more income & promotion

=> Boost the morale of the employees

Demerits of IS:

=> Promotion is mostly by order of seniority.

=> New persons mostly do not get opportunity to do work.

=> Personal perceptions of managers are more dominant in selection process.

=> Lack of ~~previous~~ new technology